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Intermediation Frictions in Debt Relief: Evidence from CARES Act Forbearance

Contents

1 Big picture

- **Question.** Did mortgage servicers shape access to pandemic mortgage forbearance, and what did forbearance do to borrowers' financial behavior?
- **Policy setting.** The CARES Act allowed borrowers with federally backed mortgages to pause payments for up to 180 days, renewable for another 180 days, without fees, penalties, extra interest, or negative credit reporting.
- **Intermediary friction.** Forbearance was not automatic. Borrowers had to request it from their mortgage servicer, and servicers had to process the request. Servicers therefore became the implementation layer of the debt relief program.
- **Main servicer fact.** Conditional on becoming past due during the pandemic, the probability of *not* entering forbearance varied widely across servicers. The paper estimates servicer-specific missing-forbearance probabilities ranging from roughly 10% to almost 60%.
- **Which servicers provided less forbearance?** Small servicers, nonbank servicers, and especially nonbanks with low cash and securities buffers facilitated fewer forbearances. Low-forbearance servicers also generated more forbearance-related CFPB complaints.
- **Borrower heterogeneity.** Servicer effects are weaker for borrowers who are older or have low updated credit scores. These borrowers appear harder to reach: they are less likely to enter forbearance and less responsive to being matched with a high-forbearance servicer.
- **Causal design for borrower effects.** The authors use cross-servicer variation in forbearance availability. Borrowers at high-forbearance servicers are compared with borrowers at low-forbearance servicers before and after the CARES Act.
- **Main borrower effect.** Easier access to forbearance increased mortgage nonpayment substantially. During April–July 2020, assignment to a high-forbearance servicer increased forbearance by about 5.6 percentage points and missed payments by about 4.9 percentage points.
- **But it reduced missing forbearance.** Easier access lowered the probability of being past due without forbearance by about 0.4 percentage points, a 20–25% reduction relative to the mean.
- **Use of liquidity.** Some deferred mortgage payments were used to pay down credit card balances, especially among less liquidity-constrained borrowers. Most deferred liquidity appears to have been saved or used for nondurable consumption.
- **Credit scores and strategic behavior.** Easier forbearance did not significantly worsen updated credit scores, consistent with CARES Act credit-reporting protections. The paper finds little evidence that marginal nonpayers were mainly strategic defaulters.
- **Economic takeaway.** Debt relief designed to be broad and simple can still be filtered by intermediary frictions. The implementation agent matters for who obtains relief and how relief translates into liquidity.

2 Data and measurement

2.1 Mortgage forbearance under the CARES Act

- The CARES Act was signed on March 27, 2020.
- It covered federally backed mortgages, including FHA, VA, Fannie Mae, and Freddie Mac loans.
- Eligible borrowers needed only to attest to a direct or indirect pandemic-related hardship.
- Missed payments in forbearance were not forgiven, but no extra interest accrued; economically, forbearance provided a zero-interest payment deferral.
- Borrowers had to contact their servicers, and servicers had discretion over how easy it was to apply, what information was communicated, and how quickly cases were processed.

Interpretation. The legal entitlement was broad, but operational access was delegated to servicers. This creates the central measurement opportunity: otherwise similar loans faced different practical access to forbearance depending on the servicer.

2.2 Main loan-level data

- The main loan-level dataset is eMBS data for Ginnie Mae mortgage-backed securities.
- The analysis focuses on FHA and VA mortgages securitized through Ginnie Mae.
- This segment is important because it serves lower-income and higher-risk borrowers, and because FHA/VA loans expose servicers to larger liquidity risk.
- The eMBS data provide forbearance flags, loan payment status, servicer identity, and loan characteristics.
- The sample contains about 10.1 million loans as of January 2020: about 6.9 million FHA loans and 3.2 million VA loans.

Interpretation. Ginnie Mae loans are the right place to study servicer implementation frictions because servicers faced meaningful advance obligations and operational demands during a sudden payment shock.

2.3 Matched borrower-credit data

- To study borrower outcomes beyond the mortgage, the authors merge eMBS with CRISM, a dataset linking Black Knight McDash mortgage data to Equifax credit bureau records.
- This matched data include credit card balances, credit card utilization, updated credit scores, auto tradelines, and other nonmortgage debt outcomes.
- For borrower-effect regressions, the sample consists of loans that were active and current in January 2020.
- The authors exclude loans originated after October 2019 and normalize event-study outcomes so that the high- and low-forbearance groups match in March 2020.

Interpretation. The credit-bureau link is what lets the paper ask whether borrowers used mortgage-payment deferral to reduce high-cost debt, purchase durable goods, or simply retain liquidity.

2.4 Servicer characteristics

- Servicer-level characteristics are drawn from call reports and servicing data.
- For banks, the paper uses Y-9C and call-report data.
- For nonbank mortgage companies, the paper uses mortgage call report data from state supervisors.
- Key servicer variables include servicing size, total assets, cash-to-assets, securities-to-assets, capital-to-assets, and servicing growth.
- Organizational type is separated into banks, nonbank mortgage companies, and credit unions.

Interpretation. These variables test whether liquidity constraints, regulatory environment, capitalization, risk shifting, and scale explain the cross-servicer forbearance patterns.

2.5 CFPB complaint data

- The paper uses the Consumer Financial Protection Bureau complaint database to measure borrower complaints related to mortgage forbearance.
- Complaints are scaled by the number of government loans serviced by each servicer.
- The complaint measure is used as an independent check on whether low forbearance provision reflected poor servicing quality rather than low borrower demand.

Interpretation. If low-forbearance servicers also receive more forbearance-related complaints, then the cross-servicer variation is likely to reflect implementation frictions rather than only unobserved borrower preferences.

3 Models and empirical specifications

3.1 Servicer effects in forbearance access

The first-stage object is the servicer-specific propensity to provide forbearance. The paper estimates a cross-sectional linear probability model:

$$\text{Forbearance}_i = \beta X_i + \xi_s + \varepsilon_i. \tag{1}$$

- Forbearance_i equals one if loan i entered forbearance between March and November 2020.
- The estimation sample is loans current in January 2020 that missed at least one payment from March to November 2020.
- X_i includes controls such as loan age, loan-to-value ratio, debt-to-income ratio, loan balance, and credit score bins.
- ξ_s is the servicer fixed effect.

Interpretation. The servicer fixed effect is the paper's measure of effective forbearance availability. A high ξ_s means a past-due borrower is more likely to obtain forbearance after controlling for observed loan and borrower characteristics.

3.2 High-forbearance servicer indicator

The borrower-effect analysis classifies servicers as high or low forbearance based on the estimated fixed effects:

$$S_s^H = \mathbf{1}\{\widehat{\xi}_s > \text{median}(\widehat{\xi})\}. \tag{2}$$

Interpretation. This converts a continuous implementation-quality measure into a simple treatment variable: whether the borrower was assigned to a servicer with above-median forbearance access.

3.3 Difference-in-differences for borrower outcomes

The main borrower-outcome model is a dynamic difference-in-differences specification:

$$Y_{it} = \beta_t S_i^H + \gamma Z_{it} + \alpha_s + \alpha_{z\tau t} + \varepsilon_{it}. \tag{3}$$

- Y_{it} is a borrower outcome in month t, such as being past due, being in forbearance, credit card balance, or updated credit score.
- β_t traces the effect of being matched to a high-forbearance servicer over time.
- Z_{it} includes borrower and loan controls.
- α_s are servicer fixed effects.
- $\alpha_{z\tau t}$ are ZIP-code-by-month-by-origination-year fixed effects.
- Standard errors are clustered at the servicer level.

Interpretation. The identifying idea is that, after matching on controls and absorbing geography-time shocks, the differential post-CARES change between high- and low-forbearance servicers captures easier access to forbearance.

3.4 Payment and liquidity outcomes

The key mortgage-payment outcomes are:

$$\begin{aligned} \text{PastDue}_{it} &= \mathbf{1}\{\text{loan is past due}\}, && (4) \\ \text{NoForbearance}_{it} &= \mathbf{1}\{\text{loan is past due but not in forbearance}\}, && (5) \\ \text{Forbearance}_{it} &= \mathbf{1}\{\text{loan is in forbearance}\}. && (6) \end{aligned}$$

The key nonmortgage outcomes are:

$$\begin{aligned} \log(\text{CreditCard}_{it}) &\quad \text{for total credit card balances}, && (7) \\ \text{FICO}_{it} &\quad \text{for updated credit score}, && (8) \\ \text{AutoTrade}_{it} &\quad \text{as a proxy for auto purchases}. && (9) \end{aligned}$$

Interpretation. Mortgage nonpayment measures whether the policy provides liquidity; credit card and auto outcomes measure what borrowers do with the liquidity.

3.5 Crowding-out specification

To test whether high-forbearance servicers reduced new lending because of liquidity constraints, the paper estimates a Poisson model for lending volume:

$$\lambda_{st} = \exp\left(\beta_t S_s^H + \delta_t X_s + \alpha_s + \gamma_t\right). \tag{10}$$

- λ_{st} is the expected volume of new mortgage originations by servicer s in month or quarter t.
- X_s includes time-varying interactions with servicer characteristics such as nonbank status and servicing size.
- The coefficient sequence β_t tests whether high-forbearance servicers cut back on lending after the CARES Act.

Interpretation. If forbearance drained servicer liquidity, high-forbearance servicers should originate fewer new loans. The paper finds little robust evidence of this crowding-out channel.

4 Identification and empirical design

4.1 What identifies servicer implementation frictions

- The paper estimates servicer fixed effects among borrowers who became past due and therefore were eligible to benefit from forbearance.
- The servicer fixed effects are estimated conditional on observed loan and borrower characteristics.
- The authors show the estimated variation is robust to different controls and to using lender fixed effects, which identify servicer effects from post-origination servicing transfers.
- Borrowers at high- and low-forbearance servicers look similar in ex ante characteristics and pre-pandemic delinquency behavior.

Interpretation. The servicer-effects exercise is meant to separate differences in practical access to forbearance from differences in borrower fundamentals.

4.2 Why servicer liquidity matters

- Mortgage servicers typically advance scheduled payments to MBS investors even when borrowers stop paying.
- For FHA loans, advances can last longer and reimbursements can be delayed and costly.
- Nonbank servicers rely more on short-term wholesale funding and do not have insured deposits or standard lender-of-last-resort access.
- During the pandemic, a wave of forbearance requests created a large advance burden, especially for nonbanks.

Interpretation. A liquidity-constrained servicer may have stronger incentives to discourage or slow forbearance, even if borrowers are legally eligible.

4.3 Why the borrower-effect design is credible

- The treatment is servicer-level forbearance availability, not individual borrower takeup.
- Outcomes are compared dynamically before and after the CARES Act.
- Pre-pandemic differences between high- and low-forbearance servicer borrowers are small and normalized in March 2020.
- ZIP-by-month-by-origination-year fixed effects absorb local pandemic shocks and borrower-cohort geography shocks.

Interpretation. The design uses servicer implementation variation as a quasi-random shift in forbearance access at the margin. It does not require assuming every borrower at a high-forbearance servicer takes forbearance.

4.4 Main limitations

- Servicers are not randomly assigned to borrowers.
- Some unobserved borrower-servicer matching could remain, although robustness checks reduce this concern.

- The main sample is Ginnie Mae FHA/VA loans, so effects may differ for GSE or portfolio loans.
- The paper observes credit-bureau outcomes but not bank-account balances or direct consumption.
- Some crowding-out tests are less cleanly identified because servicer forbearance and lending policies may be jointly determined.

Interpretation. The evidence is strongest for two claims: servicers shaped access to forbearance, and easier access induced more nonpayment. It is more indirect about the final use of all deferred liquidity.

5 Tables and figures

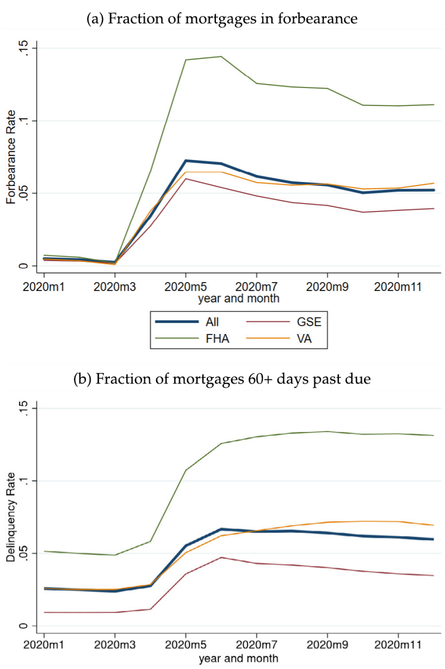
This section keeps the same *Read* plus *Economic message* format, while grouping adjacent original figures and tables to save space. Images are directly cropped from the uploaded paper.

5.1 Figure 1 and Table 1: forbearance trends and sample statistics

Read:

- Figure 1 shows forbearance and serious nonpayment rising sharply after the CARES Act.
- FHA loans have much higher forbearance and 60+ day past-due rates than VA, GSE, and the overall market.
- Table 1 shows the main sample contains 10.1 million Ginnie Mae loans, of which about 70% are FHA.
- FHA borrowers have lower credit scores and higher debt-to-income ratios than VA borrowers.
- During March–November 2020, 18% of loans were ever 30+ days past due and 14% entered forbearance.
- Conditional on ever being 30+ days past due, 74% entered forbearance, meaning about one quarter of past-due borrowers missed forbearance.

Economic message. The pandemic generated a large mortgage-payment shock, but the conversion of nonpayment into formal forbearance was incomplete. That gap is the empirical object of the paper.



(a) Figure 1: forbearance and past-due rates.

Table 1

Summary statistics. Loan-level summary statistics for the eMBS sample. Reflects the population of FHA and VA loans securitized into Ginnie Mae MBS as of January 2020.

	(1) FHA	(2) VA	(3) All
A. Ex-ante loan characteristics:			
Unpaid mortgage balance ($, as of Jan 2020)	150,580	207,148	167,304
Original loan-to-value (LTV) (%)	92.93	94.71	93.42
Original debt-to-income (DTI) (%)	41.08	38.45	40.23
Original credit score	682.18	714.80	692.69
Loan age (years, as of Jan 2020)	5.46	4.05	5.02
30+ days past-due in Jan 2020	0.06	0.03	0.05
60+ days past-due in Jan 2020	0.02	0.01	0.02
B. Forbearance & past-due rates during pandemic (Mar–Nov 2020):			
Ever 30+ days past due	0.21	0.11	0.18
Ever 60+ days past-due	0.15	0.08	0.13
Ever paid off	0.19	0.34	0.24
Ever in forbearance	0.16	0.08	0.14
C. Conditional forbearance & past-due rates during pandemic (Mar–Nov 2020):			
Forbearance | nonpayment (for loans current in Jan 2020):			
Ever in forbearance among loans ever 30+ days past-due	0.74	0.70	0.74
Ever in forbearance among loans ever 60+ days past due	0.91	0.88	0.91
Nonpayment | forbearance (for loans current in Jan 2020):			
Ever 30+ days past-due among loans ever in forbearance	0.84	0.84	0.84
Ever 60+ days past due among loans ever in forbearance	0.71	0.72	0.71
N. Obs.	6,943,846	3,185,050	10,128,896

(b) Table 1: loan-level summary statistics.

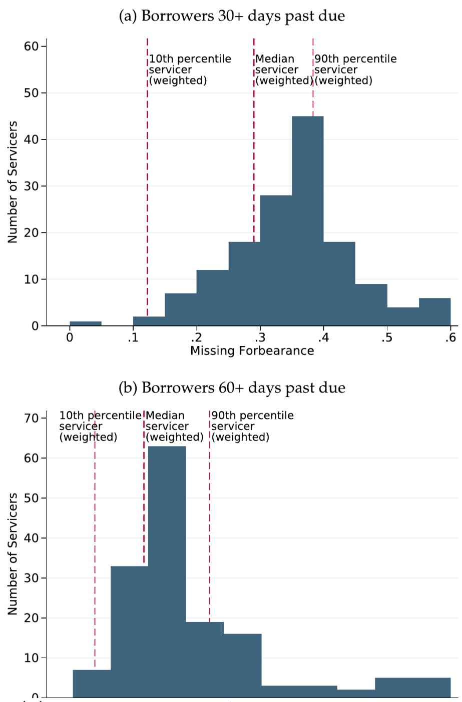
5.2 Figure 2 and Table 2: cross-servicer variation and borrower heterogeneity

Read:

- Figure 2 plots servicer fixed effects as the probability that a past-due borrower fails to enter forbearance.

- For 30+ day past-due borrowers, missing-forbearance probabilities range from under 10% to almost 60% across servicers.
- The weighted interquartile range is about 15 percentage points.
- For 60+ day past-due borrowers, the dispersion is smaller but still economically large.
- Table 2 shows that high-forbearance servicer assignment raises forbearance receipt by 12–19 percentage points among borrowers who miss payments.
- The effect is weaker for borrowers with high mortgage balances and for borrowers in areas hit harder by unemployment changes, but the baseline effect remains large.
- Older borrowers and low-credit-score borrowers appear less responsive to servicer behavior.

Economic message. Servicers do not merely process applications mechanically. Their practices materially affect whether borrowers obtain formal debt relief.



(a) Figure 2: missing forbearance by servicer.

Table 2

Heterogeneity in servicer effects. Matched eMBS-CRISM sample, restricted to borrowers who were current in January 2020 but missed at least one payment between March and November. High-forbearance servicer is defined as a servicer with an above-median estimated fixed effect; similarly other explanatory variables are dummies equal to 1 if the variable exceeds its sample median. Standard errors are clustered at the servicer level. ***, ** and * indicate statistical significance at the 1%, 5% and 10% levels respectively.

Dependent variable = 1 if mortgage received forbearance, = 0 otherwise	(1)	(2)	(3)	(4)	(5)	(6)
High-forbearance servicer	0.136***	0.182***	0.147***	0.120***	0.137***	0.189***
	(0.021)	(0.024)	(0.024)	(0.022)	(0.023)	(0.029)
High-forbearance servicer:						
× High unpaid mortgage balance		−0.054***				−0.044***
		(0.010)				(0.009)
× High Δ unemp rate (yoy)			−0.021**			−0.015**
			(0.009)			(0.006)
× High updated credit score (FICO V5)				0.020		0.003
				(0.013)		(0.011)
× High borrower age					−0.003	0.002
					(0.009)	(0.008)
High unpaid mortgage balance		0.123***				0.069***
		(0.009)				(0.010)
High Δ unemp rate (yoy)			0.061***			
			(0.006)			
High updated credit score (FICO V5)				0.057***		0.068***
				(0.012)		(0.009)
High borrower age					−0.020***	−0.013*
					(0.007)	(0.007)
Zipcode fixed effects	N	N	N	N	N	Y
Other controls	N	N	N	N	N	Y
N. Obs.	431,478	411,939	431,083	431,478	431,008	405,464
Adj. R^2	0.02	0.04	0.03	0.03	0.03	0.09

(b) Table 2: heterogeneity in servicer effects.

5.3 Tables 3 and 4: determinants of servicer behavior and complaints

Read:

- Table 3 shows that large servicers are more likely to provide forbearance.
- Nonbank mortgage companies are about 8 percentage points less likely than banks to provide forbearance to a past-due borrower.
- Credit unions provide more forbearance than other servicers.
- For nonbanks, cash/assets is strongly positively related to forbearance provision, consistent with liquidity constraints.
- Table 4 shows that low-forbearance servicers generate more forbearance-related CFPB complaints.
- Among nonbanks, the negative relation between forbearance propensity and complaints is especially large.

- Lower cash and securities buffers are associated with more complaints, again especially for nonbanks.

Economic message. The servicer patterns line up with liquidity constraints, scale, and organizational form. The complaint evidence supports the interpretation that low forbearance reflects implementation frictions rather than low borrower demand.

Table 3

Determinants of servicer effects. Servicer-level regression of servicer forbearance fixed effects on characteristics drawn from bank and nonbank call reports and eMBS. Column 1 is based on all servicers including banks, credit unions and nonbanks. Columns 2–4 reflect nonbank mortgage company servicers only. Columns 5–7 reflect bank servicers only. Weighted least squares, weighted by number of borrowers that were current in January 2020 but past due between March and November. Robust standard errors. ***, ** and * indicate statistical significance at the 1%, 5% and 10% levels respectively.

Dependent variable: servicer fixed effect. (Higher value ⇔ higher P(forbear | nonpay))

	All	Nonbank mtg companies			Banks		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Servicer characteristics							
log(Servicing assets)	0.035***	0.030***	0.027***		0.038***	0.039***	
	(0.006)	(0.008)	(0.005)		(0.009)	(0.010)	
log(Assets)				0.019***			0.025*
				(0.005)			(0.014)
Cash/assets			0.919***	1.047***		−0.657	−0.886
			(0.185)	(0.191)		(0.511)	(0.653)
Securities/assets			0.100	0.186**		0.244	0.448
			(0.085)	(0.090)		(0.360)	(0.319)
Capital/assets			0.032	0.080		1.068	0.753
			(0.104)	(0.113)		(0.703)	(0.802)
Servicing growth	−0.045	−0.003	−0.002	−0.019	−0.118	−0.084	−0.102
	(0.049)	(0.058)	(0.048)	(0.048)	(0.076)	(0.085)	(0.082)
Servicer type							
Nonbank mortgage company	−0.084***						
	(0.025)						
Credit union	0.186***						
	(0.032)						
N. Obs.	152	98	98	98	45	45	45
Adj. R^2	0.53	0.29	0.48	0.41	0.47	0.46	0.27

(a) Table 3: servicer determinants of forbearance fixed effects.

Table 4

Servicer forbearance practices and CFPB complaints. Servicer-level regression of relationship between volume of forbearance-related CFPB complaints and servicer forbearance practices (as measured by servicer fixed effects). Outcome variable is the number of forbearance-related mortgage complaints for government loans per thousand Ginnie Mae mortgages serviced. Weighted least squares, weighted by size of Ginnie Mae servicing portfolio as of January 2020. Robust standard errors. ***, ** and * indicate statistical significance at the 1%, 5% and 10% levels respectively.

Dependent variable: Forbearance complaints per thousand loans serviced

	All lenders				Nonbanks only	
	(1)	(2)	(3)	(4)	(5)	(6)
Servicer forbearance propensity	−0.222***	−0.235***			−0.622**	
	(0.073)	(0.077)			(0.303)	
Servicer characteristics						
log(Servicing assets)			−0.016**	−0.006		−0.031
			(0.007)	(0.008)		(0.041)
Cash/assets				−0.409*		−1.090**
				(0.229)		(0.485)
Securities/assets				−0.355**		−0.891***
				(0.174)		(0.301)
Capital/assets				−0.020		0.440
				(0.139)		(0.524)
Servicing growth			0.079	0.094		0.731*
			(0.060)	(0.060)		(0.409)
Frac. govt. loans that are FHA		0.069**	0.072**	0.089	−0.337	−0.486
		(0.032)	(0.036)	(0.077)	(0.503)	(0.562)
Servicer type						
Nonbank mortgage company		0.002	0.012	−0.033		
		(0.020)	(0.022)	(0.033)		
Credit union		0.070**	0.000			
		(0.028)	(0.025)			
N. Obs.	129	129	129	125	92	92
Adj. R^2	0.01	−0.01	−0.01	−0.00	−0.01	0.12

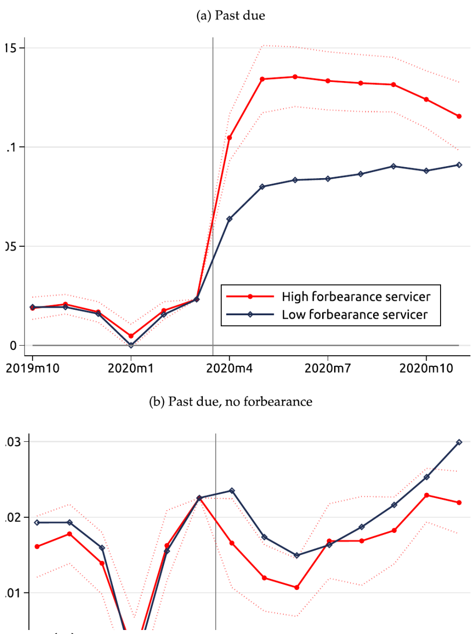
(b) Table 4: forbearance practices and CFPB complaints.

5.4 Figure 3 and Table 5: effects on mortgage payment behavior

Read:

- Figure 3 shows that high-forbearance servicer borrowers become much more likely to be past due immediately after the CARES Act.
- The past-due rate difference peaks at about 5 percentage points in May 2020.
- The bottom panel shows that being past due without forbearance is lower at high-forbearance servicers early in the pandemic.
- Table 5 quantifies the effect: from April–July 2020, high-forbearance assignment raises formal forbearance by 5.6 percentage points and missed payment by 4.9 percentage points.
- During the same period, missed payment without forbearance falls by 0.4 percentage points.
- The forbearance-with-missed-payment outcome rises by 5.3 percentage points, showing that most marginal forbearance reflects actual payment deferral.

Economic message. Easier access to debt relief increased household liquidity by inducing borrowers to pause payments. It also reduced the number of borrowers who were delinquent but outside the protection of forbearance.



(a) Figure 3: mortgage payment behavior.

Table 5

Forbearance and nonpayment outcomes. Estimates of the average effect of assignment to a high-forbearance servicer on five different payment and forbearance outcomes. Estimates reported in columns (1), (3) and (5) are the average coefficient on the high-forbearance-servicer × time dummies (estimates of β_t from Eq. (3)), over three phases of the pandemic: a pre-pandemic period (October 2019–February 2020); early pandemic (April–July 2020) and later pandemic (August–November 2020), along with the associated standard error of each mean. March 2020 dummy is omitted; thus effect is normalized to zero in that month. For context, columns (2), (4) and (6) report the unconditional mean of the dependent variable at low-forbearance servicers during the period referenced. Standard errors are clustered at the servicer level. ***, ** and * indicate statistical significance at the 1%, 5% and 10% levels respectively.

Outcome variable:	Pre-pandemic		Pandemic			
	2019:m10–2020:m2		2020:m4 to 2020:m7		2020:m8 to 2020:m11	
	(1) Coeff.	(2) Mean	(3) Coeff.	(4) Mean	(5) Coeff.	(6) Mean
Forbearance	0.002	0.001	0.056***	0.081	0.045***	0.091
	(0.002)		(0.009)		(0.010)	
Missed payment	0.002	0.016	0.049***	0.069	0.037***	0.083
	(0.002)		(0.007)		(0.007)	
Missed payment, no forbearance	−0.001	0.016	−0.004**	0.017	−0.004**	0.022
	(0.002)		(0.002)		(0.002)	
Forbearance, no missed payment	−0.001	0.000	0.003	0.029	0.005	0.029
	(0.002)		(0.005)		(0.006)	
Forbearance, missed payment	0.003	0.000	0.053***	0.052	0.041***	0.061
	(0.002)		(0.007)		(0.008)	

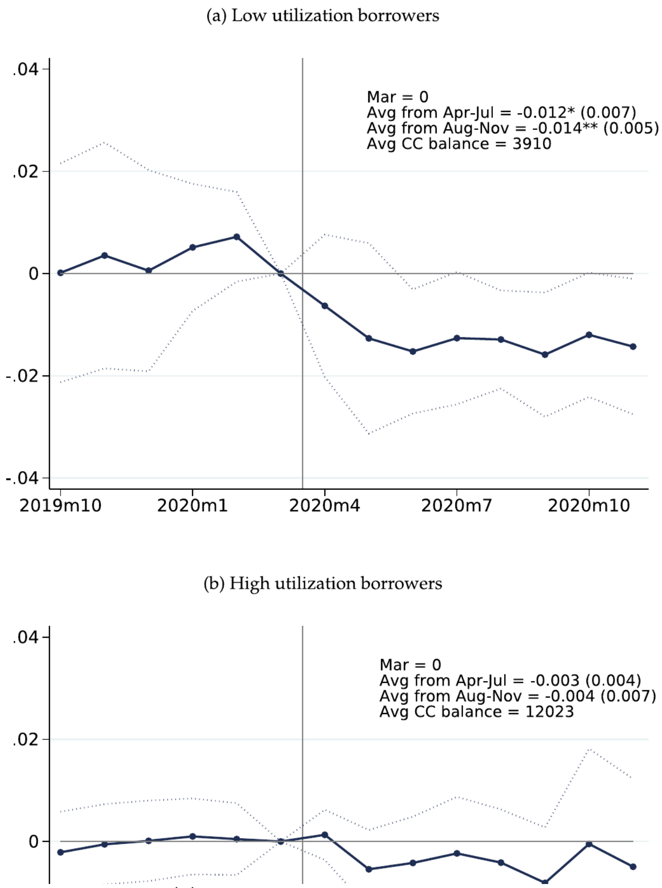
(b) Table 5: forbearance and nonpayment outcomes.

5.5 Figures 4 and 5: nonmortgage debt and credit scores

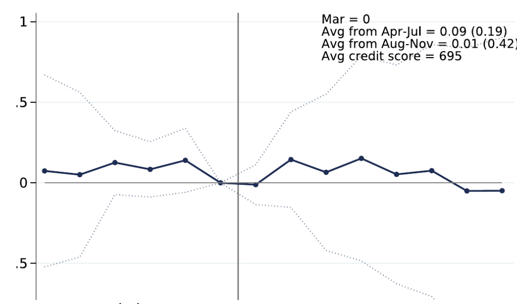
Read:

- Figure 4 estimates the effect of forbearance access on log credit card balances.
- For borrowers with low credit card utilization, balances fall after the CARES Act: about 1.2% during April–July and 1.4% during August–November.
- For high-utilization borrowers, the effect on credit card balances is close to zero.
- Scaling by the forbearance-rate effect, credit card paydown explains about one-fifth of deferred mortgage payments for low-utilization borrowers.
- Figure 5 shows that updated credit scores are not significantly harmed by easier access to forbearance.
- The point estimates for credit scores are close to zero and imprecise but consistent with CARES Act protections against negative credit reporting for forbearance.

Economic message. Forbearance acted as liquidity relief. Some borrowers used the liquidity to reduce costly credit card debt, but most of the payment deferral was saved or used for nondurable consumption rather than debt reduction or durable purchases.



(a) Figure 4: credit card balances.



(b) Figure 5: updated credit score.

6 Short summary

- The paper studies mortgage forbearance under the CARES Act as a case of debt relief implemented through private intermediaries.
- Although eligibility was broad and documentation requirements were minimal, borrowers had to obtain forbearance through their servicers.
- A quarter of mortgages that became past due during the pandemic did not enter forbearance.
- Missing-forbearance rates varied widely across servicers, even after controlling for borrower and loan characteristics.
- Small servicers, nonbanks, and liquidity-constrained nonbanks provided less forbearance.
- Low-forbearance servicers generated more forbearance-related CFPB complaints.
- Older borrowers and borrowers with low updated credit scores were less responsive to high-forbearance servicers.
- Easier forbearance access increased formal forbearance and mortgage nonpayment.
- Easier access also reduced the probability that a borrower was past due but not protected by forbearance.
- Borrowers at high-forbearance servicers deferred about $300 moreinmortgagepaymentsoverApril - -November 2020, orabout 6$,000 per marginal forbearance.
- Some liquidity was used to reduce credit card balances, especially among low-utilization borrowers.

- The paper finds little evidence of credit-score harm, durable auto purchases, strategic default as the main driver, or robust crowding-out of new lending.
- The broader lesson is that intermediary capacity and incentives matter for emergency debt relief.

7 Conclusion

7.1 Core conclusion

Kim, Lee, Scharlemann, and Vickery show that mortgage servicers played a central role in the implementation of CARES Act forbearance. The statutory rules were generous, but the actual probability of receiving relief depended strongly on the servicer. This variation is related to servicer liquidity, organizational form, size, and complaint rates.

7.2 Economic intuition

Forbearance benefits borrowers by providing a zero-interest payment deferral, but it can impose liquidity and operational costs on servicers. If servicers must advance payments or face processing bottlenecks, they may not make access equally easy. Thus, a government program that looks universal on paper can become heterogeneous in practice because implementation is intermediated.

7.3 Takeaway

The paper's main message is that debt-relief policy design must consider the balance sheets and incentives of intermediaries. Automatic or standardized enrollment, clearer borrower communication, and liquidity support for constrained servicers may be necessary when a future relief program depends on private intermediaries to deliver public policy.